

845/1

Entrepreneurship

Paper 1

2½ hours



Apex Examination Council

MOCK EXAMINATIONS 2025

Uganda certificate of education

ENTREPRENEURSHIP

Paper 1

2 hours 30 minutes

INSTRUCTIONS TO CANDIDATES:

- This paper consists of two sections **A** and **B**.
- Answer all questions in Section A and **one** question in Section B.
- Answer **four** questions in total.
- Any extra question answered will not be marked.
- Write all answers in the answer booklet(s) provided.

SECTION A

Answer all questions in this section

ITEM 1

You have inherited a piece of land near River Rwizi wetland in Mbarara District worth shs. 12,000,000.

Task:

- a) Identify various business opportunities you can start on this land.
- b) Choose one of the businesses and write a brief description of how it would operate in that wetland area.

ITEM 2

Namaganda runs a small maize milling business in Kabale Town. She buys maize grains directly from farmers during harvest season and sells maize flour to local schools and market traders. Recently, some customers have complained about finding stones in the flour and have started buying from a new competitor. Namaganda also sells on credit, and many customers delay payment.

Tasks:

- a) Identify the entrepreneurial characteristics Namaganda has shown.
- b) Suggest ways Namaganda can improve the quality of her product.
- c) Advise her on different ways to increase sales for her milling business.

ITEM 3

Kato opened a motorbike repair and spare parts shop in Fort Portal Town. His business has been growing steadily because of its good location and loyal customers. Kato keeps his income in PostBank Uganda and has insured his shop against fire and theft. He also pays taxes to the municipal council regularly.

Tasks:

- a) Explain the factors that could have contributed to Kato's business success.
- b) State the rights Kato enjoys as a taxpayer.
- c) What principles should Kato follow before insuring his business?

SECTION B

Answer one question from this section

ITEM 4

Akello runs a boutique shop in Lira Town selling clothes and beauty accessories. Below is her trial balance for the year ended 31/12/2024:

Details	Amount (shs.)
Stock (31/12/2024)	6,800,000
Capital	12,000,000
Cash at bank	2,000,000
Shop fittings	3,500,000
Purchases	4,750,000
Sales	9,250,000
Salaries & wages	1,200,000
Insurance	200,000
Creditors	1,000,000
Debtors	1,500,000
Advertising	150,000
Cash in hand	500,000

She made a net profit of shs. 350,000.

Tasks:

- Check the arithmetical accuracy of the records.
- Prepare a statement of financial position for Akello's shop.

ITEM 5

Mukasa, a sole trader in Masaka, had shs. 800,000 cash in hand and shs. 1,500,000 in the bank on 1/5/2025. The following transactions occurred in May:

May 2: Received shs. 2,500,000 cash from Kyeyune, a debtor

May 4: Paid shs. 1,800,000 to Nakato by cheque less 5% cash discount

May 6: Deposited shs. 300,000 cash into the bank

May 9: Received shs. 2,000,000 by cheque from Mutebi less 5% cash discount

May 12: Paid wages in cash shs. 1,200,000

May 15: Added extra capital of shs. 2,000,000 cash

May 18: Paid shs. 700,000 to Ssali by cheque less 3% cash discount

May 21: Received shs. 5,000,000 by cheque from Nanyonjo after giving shs. 100,000 cash discount

May 23: Withdrew shs. 1,500,000 from bank for business use

May 26: Received shs. 3,200,000 by cheque from Sarah less shs. 200,000 cash discount

May 28: Cashed a cheque for shs. 2,000,000 and paid wages of shs. 1,500,000 from it

May 30: Paid shs. 4,000,000 to Kaggwa less 10% cash discount

Tasks:

a) Use your bookkeeping skills to record these transactions in the cash book.

b) Post the discounts to the relevant discount allowed and discount received accounts.

END